Weekly Record 8: Financial Institutions, Markets and Accounting Systems

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Company A	Ferrero Group (Ferrero International S.A., Luxembourg), international comparator
Company B	JSC Bayan Sulu (Kostanay, Kazakhstan; KASE: BSUL), focal company
Assessed core reading	OpenStax Introduction to Business 2e, Ch. 14.1–14.5 and Ch. 16.1–16.3
Record type	Full record, fields 1–6 · AI-use Level 2 (supported, disclosed)
Capstone link	Section 7: Business case and KPIs

1. Concept

Key terms: financial vs. managerial accounting, GAAP/IFRS, accounting equation, balance sheet, income statement, financial manager, risk–return trade-off, cash management, capital expenditure, trade credit, line of credit, revolving credit agreement, commercial paper.

This week had two parts. Chapter 14 is about recording money. Many groups use the same financial statements: managers, banks, investors and the government, but each of them uses them for a different decision [1]. Financial accounting is for people outside the company, and managerial accounting is for people inside it. Everything rests on the accounting equation: assets = liabilities + owners' equity. If it does not balance, something was recorded wrong. The balance sheet shows this picture on one day, and the income statement shows revenue, costs and profit for a whole year.

Chapter 16 is about deciding. The financial manager plans, raises and spends money, and has to balance risk and return all the time [1]. For short-term needs a firm can use trade credit from suppliers, a bank line of credit, a revolving credit agreement or, if it is very large, commercial paper.

Concept Check (my own words): Can a company make a profit and still be short of cash? Yes. The income statement counts a sale when it happens, not when the customer pays. So if customers pay later, or the company buys more stock than it sells, profit goes up while cash goes down. That is why cash management is a separate job from watching profit.

2. Application: Company B statements, ratios and AI comparison

In the practice session I calculated everything myself in Excel first and only then asked AI to read the results. I could not build the same table for Ferrero, because the group is private and does not publish a balance sheet or profit. The only profit figure I have is for one Italian sales subsidiary, Ferrero Commerciale Italia: 51.7 ÷ 1,850.8 × 100 = 2.8% [5]. So Bayan Sulu is the main case, and Ferrero mostly shows what is missing when a company does not have to publish.

Table 1. Accounting equation check, Bayan Sulu [2]

Line item (KZT million)	31 Dec 2024	31 Dec 2025	Check
Total assets	59,801	67,365	
Total liabilities	17,319	20,429	
Shareholders' equity	42,482	46,937	
Liabilities + equity	59,801	67,366	2025 is 1 off: rounding in the source, not an error

Table 2. Ratios calculated independently in Excel [2], [3]

Ratio	Formula and inputs (2025)	2024	2025	What it tells me
Current ratio	51,206 ÷ 14,508	3.35	3.53	Short-term assets cover short-term debts 3.5 times
Debt-to-equity	20,429 ÷ 46,937	0.41	0.44	Still low, but rising
Net profit margin	4,439 ÷ 51,786 × 100	7.3%	8.6%	Better than Ferrero's Italian subsidiary (2.8%)
Gross margin	10,293 ÷ 51,786 × 100	21.3%	19.9%	Core products earn a little less
Operating cash flow	reported	+429	−2,384	Cash went out while profit went up
Receivables growth	13,499 ÷ 10,470 − 1		+28.9%	Three times faster than revenue (+9.5%)
Net cash	16,585 − 14,630	7,329	1,956	Down 73% in one year

What the numbers say. On paper Bayan Sulu looks safe. The current ratio is high, liabilities are less than half of equity, and net income went up 28.4%. But the cash flow statement tells a different story. Operating cash flow was negative (−2,384 million KZT) in the same year that net income was +4,439 million [3]. Customers owe the company much more than a year ago, and more stock is sitting in the warehouse. To pay for this and for the new factory, Bayan Sulu borrowed: total debt went from 10,880 to 14,630 million KZT.

3. Verification and AI record

AI system and purpose: Claude (Anthropic), Level 2. After my own calculations I gave it only my figures and asked it to read them like a bank credit analyst and to separate facts, guesses and missing information. I did not upload any confidential data.

Table 3. Discrepancy and source-verification audit

#	AI-supported reading	My check and source	What changed
1	"Strong liquidity, net cash position, profit up 28%."	Checked the cash flow page [3]: operating cash flow −2,384; net cash fell 73%.	I no longer call Bayan Sulu "strong" without a cash comment.
2	Flagged the 1 million gap in the accounting equation as a possible error.	Re-added the lines [2]; all figures are rounded to millions.	No change; noted as rounding.
3	Used 2.8% as "Ferrero's margin" in a comparison.	Source [5] is one Italian sales company with internal prices; the group publishes revenue only [6].	Labelled as subsidiary only; not used as a group ratio.
4	Treated the data as audited.	[2] and [3] are an aggregator, not the audited report on KASE [4].	Open task: add KASE page numbers before the Capstone.

The AI did the arithmetic correctly every time. The mistakes were all about meaning: which number can be compared, and which number is missing.

4. Transfer: what Bayan Sulu should do

Decision	Action for Bayan Sulu	Reason
Adopt	A monthly cash report next to the profit report (operating cash flow, receivables, stock).	Profit alone hid the 2025 cash problem.
Adapt	Ferrero pays for big projects from its own cash. Bayan Sulu should use a revolving credit line for seasonal cocoa buying instead.	Net cash is now only 1,956 million KZT.
Pilot	An AI alert for export customers who pay late; a credit controller decides what to do.	Receivables grew 28.9%; a person keeps the customer relationship.
Delay	Large new AI spending until operating cash flow is positive for two quarters.	Risk–return trade-off [1].
Reject	AI writing the investor commentary for KASE without an accountant signing it.	Public reports must be accurate; "the AI said so" is not a defence.

5. Evidence (added to the Evidence Folder)

Sources [2] and [3] (balance sheet and cash flow pages) and [5] (Ferrero Italia release). The KASE audited report [4] is already in the folder and still needs page numbers.

6. Capstone link

This record becomes Capstone section 7, Business case and KPIs. It gives me four financial KPIs for the roadmap: operating cash flow positive for two quarters in a row; receivables growing no faster than revenue; current ratio at least 2.0; net margin at least 8%. Every AI pilot in the roadmap has to pass these gates before it grows.

References

[1] L. J. Gitman, C. McDaniel, A. Shah, M. Reece, L. Koffel, B. Talsma, and J. C. Hyatt, Introduction to Business, 2nd ed. Houston, TX, USA: OpenStax, 2026, ch. 14, 16. [Online]. Available: https://openstax.org/details/books/introduction-business-2e

[2] StockAnalysis.com, "JSC Bayan Sulu (KASE: BSUL) – Balance sheet." [Online]. Available: https://stockanalysis.com/quote/kase/BSUL/financials/balance-sheet/ (accessed Oct. 28, 2026).

[3] StockAnalysis.com, "JSC Bayan Sulu (KASE: BSUL) – Cash flow statement." [Online]. Available: https://stockanalysis.com/quote/kase/BSUL/financials/cash-flow-statement/ (accessed Oct. 28, 2026).

[4] Kazakhstan Stock Exchange, "Bayan Sulu JSC (BSUL): Issuer information." [Online]. Available: https://old.kase.kz/en/issuers/BSUL/ (accessed Sep. 22, 2026).

[5] Ferrero Italia, "Le società del Gruppo Ferrero in Italia approvano i bilanci civilistici al 31 agosto 2025," press release, Dec. 23, 2025. [Online]. Available: https://www.ferrero.com/it/it/news-media/comunicati-stampa/le-societa-del-gruppo-ferrero-in-italia-approvano-i-bilanci-civilistici (in Italian).

[6] Ferrero Group, "Ferrero Group reports consolidated financial statements for the 2024/2025 financial year," Luxembourg, Feb. 6, 2026. [Online]. Available: https://www.ferrero.com/int/en/news-stories/news/ferrero-group-reports-consolidated-financial-statements-for-the-2024-2025-financial-year